

THE UNIVERSITY OF TEXAS AT DALLAS

ANNUAL FINANCIAL REPORT

UNAUDITED

FISCAL YEAR ENDED AUGUST 31, 2016



The University of Texas at Arlington ♦ The University of Texas at Austin ♦ The University of Texas at Brownsville ♦ The University of Texas at Dallas ♦ The University of Texas at El Paso ♦ The University of Texas - Pan American ♦ The University of Texas of the Permian Basin ♦ The University of Texas at San Antonio ♦ The University of Texas at Tyler ♦ The University of Texas Southwestern Medical Center at Dallas ♦ The University of Texas Medical Branch at Galveston ♦ The University of Texas Health Science Center at Houston ♦ The University of Texas Health Science Center at San Antonio ♦ The University of Texas M. D. Anderson Cancer Center ♦ The University of Texas Health Science Center at Tyler ♦ The University of Texas System Administration

THE UNIVERSITY OF TEXAS AT DALLAS
FINANCIAL STATEMENTS
(WITH DETAILED SUPPORTIVE SCHEDULES)

Presented herein are the financial statements with detailed supportive schedules for The University of Texas Dallas for the year ended August 31, 2016. These Statements and detailed supportive schedules have been prepared in compliance with applicable State statutes, Governmental Accounting Standards Board pronouncements, and the Texas Comptroller of Public Accounts' Annual Financial Reporting Requirements.

This "detailed internal report" supplements the consolidated published Annual Financial Report of The University of Texas System and is intended to be for limited distribution primarily to financial and academic officers of the University who need access to the details included herein. It also provides an historical record of transactions relating to this particular institution.

The Annual Financial Report for public distribution for The University of Texas System includes primary statements on a consolidated System-wide basis, including footnotes and Managements' Discussion and Analysis.

THE UNIVERSITY OF TEXAS SYSTEM
BOARD OF REGENTS
As of August 31, 2016

Officers

Paul L. Foster, Chairman
R. Steven “Steve” Hicks, Vice Chairman
Jeffery D. Hildebrand, Vice Chairman
Francie A. Frederick, General Counsel to the Board of Regents

Members

*Terms scheduled to expire February 1, 2017**

Alex M. Cranberg	Houston
Wallace L. Hall, Jr.	Dallas
Brenda Pejovich	Dallas

*Terms scheduled to expire February 1, 2019**

Paul L. Foster	El Paso
Jeffery D. Hildebrand	Houston
Ernest Aliseda	McAllen

*Terms scheduled to expire February 1, 2021**

R. Steven “Steve” Hicks	Austin
David J. Beck	Houston
Sara Martinez Tucker	Dallas

*Term scheduled to expire May 31, 2017**

Varun P. Joseph (Student Regent)	McKinney
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*Each Regent’s term expires when a successor has been appointed, qualified, and taken the oath of office.
The Student Regent serves a one-year term.

THE UNIVERSITY OF TEXAS SYSTEM
SENIOR ADMINISTRATIVE OFFICIALS
As of August 31, 2016

William H. McRaven, Chancellor

David E. Daniel, Deputy Chancellor

Raymond S. Greenberg, Executive Vice Chancellor for Health Affairs

Scott C. Kelley, Executive Vice Chancellor for Business Affairs

Steven W. Leslie, Executive Vice Chancellor for Academic Affairs

Stephanie A. Bond Huie, Vice Chancellor for Strategic Initiatives

Barry R. McBee, Vice Chancellor and Chief Governmental Relations Officer

Randa S. Safady, Vice Chancellor for External Relations

Daniel H. Sharphorn, Vice Chancellor and General Counsel

William H. Shute, Vice Chancellor for Federal Relations

Amy Shaw Thomas, Vice Chancellor for Academic and Health Affairs

Bruce E. Zimmerman, Chief Executive Officer and Chief Investment Officer–UTIMCO

THE UNIVERSITY OF TEXAS AT DALLAS

PRINCIPAL ADMINISTRATIVE OFFICERS

As of August 31, 2016

Richard C. Benson	President
Hobson Wildenthal	Executive Vice President and Provost
Brain Dourty	Interim Vice President of Information Technology
Bruce E. Gnade	Vice President for Research
Calvin D. Jamison	Vice President for Administration
Terry A. Pankratz	Vice President for Budget and Finance
Gene Fitch	Vice President for Student Affairs
Amanda O. Rockow	Vice President for Public Affairs
John Walls	Interim Vice President for Communications
George Fair	Vice President for Diversity and Community Engagement

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The University of Texas at Dallas
Exhibit A Statement of Net Position
As of August 31, 2016

	Current YearTotals	Prior YearTotals
ASSETS AND DEFERRED OUTFLOWS		
Current Assets:		
Cash & Cash Equivalents	75,002,693.41	93,028,487.47
Restricted Cash & Cash Equivalents	3,766,854.24	5,293,054.65
Balance in State Appropriations	4,158,756.48	7,797,412.96
Accounts Receivable, Net:		
Federal (allow. \$0.00 in 2016 & \$0.00 in 2015)	17,873,596.16	7,475,619.91
Other Intergov. (allow. \$0.00 in 2016 & \$0.00 in 2015)	535,416.69	834,730.75
Student (allow. \$1,901,403.71 in 2016 & \$1,225,165.87 in 2015)	38,456,817.41	37,109,533.25
Interest and Dividend Receivables	494,903.67	445,860.39
Contributions (allow. \$201,166.51 in 2016 & \$515,339.79 in 2015)	3,822,163.73	9,791,455.94
Other (allow. \$785,038.13 in 2016 & \$454,461.99 in 2015)	9,839,889.39	10,375,219.57
Due From System Administration	96,410,241.27	21,824,182.24
Due From Other Institutions	477,166.35	119,808.13
Due From Other Agencies	779,954.30	522,235.64
Inventories	245,109.21	260,904.61
Loans & Contracts (allow. \$495,119.80 in 2016 & \$598,216.26 in 2015)	10,875,639.54	11,218,112.63
Other Current Assets	9,017,993.65	11,574,039.31
Total Current Assets	271,757,195.50	217,670,657.45
Noncurrent Assets:		
Restricted Investments	31,856,528.26	32,260,761.26
Loans & Contracts (allow. \$290,568.69 in 2016 & \$317,778.07 in 2015)	1,254,173.25	1,109,986.20
Funds Held by System Administration (Restricted)	436,196,714.09	392,777,507.32
Contributions Rec. (allow. \$115,294.78 in 2016 & \$39,805.82 in 2015)	2,190,600.80	756,310.56
Unrestricted Investments	159,811,309.70	136,535,901.66
Gross Capital/Intangible Assets	1,462,594,131.08	1,339,042,816.88
Accumulated Depreciation/Amortization	(487,619,539.14)	(431,036,668.12)
Total Noncurrent Assets	1,606,283,918.04	1,471,446,615.76
Total Assets	1,878,041,113.54	1,689,117,273.21
Total Assets and Deferred Outflows	1,878,041,113.54	1,689,117,273.21
LIABILITIES AND DEFERRED INFLOWS		
Current Liabilities:		
Accounts Payable and Accrued Liabilities	28,578,992.35	26,652,332.28
Salaries Payable	25,126,522.23	25,511,297.97
Due To System Administration	3,492,916.25	3,130,138.79
Due To Other Institutions	33,217.07	60,194.52
Due To Other State Agencies	24,790.44	
Unearned Revenue	132,552,492.05	127,460,311.34
Employees' Compensable Leave - Current Portion	5,507,396.74	4,864,603.98
Notes, Loans, and Leases Payable	104,458.19	
Payable From Restricted Assets	3,795,153.24	3,582,729.80
Assets Held for Others	533,416.27	639,889.45
Other Current Liabilities	19,362.24	7,133.27
Total Current Liabilities	199,768,717.07	191,908,631.40
Noncurrent Liabilities:		
Employees' Compensable Leave	3,282,976.79	3,911,153.10
Liability to Beneficiaries	3,814.89	7,275.22
Notes, Loans, and Leases Payable	105,193.58	
Total Noncurrent Liabilities	3,391,985.26	3,918,428.32
Total Liabilities	203,160,702.33	195,827,059.72
Total Liabilities and Deferred Inflows	203,160,702.33	195,827,059.72
NET POSITION		
Net Investment in Capital Assets	974,764,940.17	908,006,148.76
Restricted for:		
Nonexpendable		
Permanent Health, True Endowments, and Annuities	269,637,602.00	232,795,754.63
Expendable		
Capital Projects	79,862,591.03	3,016,674.28
Funds Functioning as Endowment (Restricted)	23,527,747.77	23,065,195.72
Other Expendable	185,796,118.17	189,833,705.37
Unrestricted	141,291,412.07	136,572,734.73
Total Net Position	1,674,880,411.21	1,493,290,213.49

The University of Texas at Dallas
Exhibit B Statement of Revenues, Expenses, and Changes in Net Position
For the Year Ended August 31, 2016

	Current YearTotals	Prior YearTotals
Operating Revenues:		
Student Tuition and Fees	375,761,496.42	349,357,672.28
Discounts and Allowances	(93,082,535.74)	(85,046,752.29)
Federal Sponsored Programs	36,529,078.58	31,743,577.63
Federal Sponsored Programs Pass-Through from State Agencies	1,423,405.91	2,115,834.95
State Sponsored Programs Pass-Through from State Agencies	10,475,133.31	9,751,300.94
Local Sponsored Programs	71,630.32	301,963.03
Private Sponsored Programs	12,002,253.98	12,792,895.01
Sales and Services of Educational Activities	19,989,211.87	19,935,924.64
Discounts and Allowances Sales and Services of Educational Activities		(35,140.54)
Auxiliary Enterprises	29,489,161.11	25,255,722.82
Other Operating Revenues	5,242,158.06	5,516,120.19
Total Operating Revenues	397,900,993.82	371,689,118.66
Operating Expenses:		
Instruction	176,131,897.44	163,402,521.38
Research	84,807,112.56	80,687,600.46
Public Service	10,187,004.28	9,992,133.54
Academic Support	68,023,602.09	60,201,859.56
Student Services	19,381,105.40	15,478,422.18
Institutional Support	41,599,228.38	48,792,572.21
Operations and Maintenance of Plant	34,821,575.98	32,080,191.45
Scholarships and Fellowships	30,706,417.29	26,881,173.30
Auxiliary Enterprises	40,848,855.01	35,624,620.08
Depreciation and Amortization	65,185,601.94	58,385,920.09
Total Operating Expenses	571,692,400.37	531,527,014.25
Operating Income (Loss)	(173,791,406.55)	(159,837,895.59)
Nonoperating Revenues (Expenses):		
State Appropriations	104,346,589.51	101,213,450.72
Federal Nonexchange Sponsored Programs	22,775,716.00	20,496,154.00
Federal Nonexchange Pass-Through		
State Nonexchange Pass-Through	32,383,099.00	3,042,124.00
Gift Contributions for Operations	26,523,353.21	10,020,063.19
Investment Income	34,229,857.39	24,829,074.30
Net Increase (Decrease) in Fair Value of Investments	(10,297,078.25)	(18,201,012.45)
Gain (Loss) on Sale of Capital Assets	(1,909,092.02)	(305,475.09)
Other Nonoperating (Expenses)	(387.69)	655.47
Net Nonoperating Revenues (Expenses)	208,052,057.15	141,095,034.14
Income/(Loss) Before Other Revenue, Expenses, Gains/(Losses), and Transfers	34,260,650.60	(18,742,861.45)
Gifts and Sponsored Programs for Capital Acquisitions	1,496,847.76	7,338,575.15
Additions to Permanent Endowments / Annuities	13,650,200.23	4,005,974.15
Reclass from/(to) Other Institutions	(53,709,858.23)	25,031,861.65
Capital Asset Purchases		
Transactions Between Funds		
Transfers Between Institutions & System, Debt Service - Mandatory	(47,145,363.08)	(39,623,476.71)
Transfers Between Institutions & System Admin. - Non mandatory	231,452,310.80	81,852,075.58
Transfers From Other State Agencies	476,141.64	204,068.91
Transfers to Other State Agencies		(3,513,178.75)
Legislative Appropriations Lapsed		(0.25)
Transfers Between Funds		
Change in Net Position	180,480,929.72	56,553,038.28
Beginning Net Position	1,493,290,213.49	1,436,737,175.21
Restatements	1,109,268.00	
Beginning Net Position (As Restated)	1,494,399,481.49	1,436,737,175.21
Ending Net Position	1,674,880,411.21	1,493,290,213.49

The University of Texas at Dallas
Exhibit C - Statement of Cash Flows
For the Year Ended August 31, 2016

	Current Year Totals	Prior Year Totals
Cash Flows from Operating Activities:		
Proceeds from Tuition and Fees	285,599,903.94	264,878,105.53
Proceeds from Sponsored Programs	50,782,196.09	54,670,628.62
Proceeds from Auxiliaries	30,158,411.09	26,145,411.73
Proceeds from Other Revenues	24,830,539.14	25,258,642.11
Payments to Suppliers	(157,731,638.15)	(170,436,852.39)
Payments to Employees	(346,931,251.65)	(306,525,240.26)
Payments for Loans Provided	(35,439,836.57)	(33,245,067.69)
Proceeds from Loan Programs	35,466,048.21	29,951,189.12
Net Cash Provided (Used) by Operating Activities	(113,265,627.90)	(109,303,183.23)
Cash Flows from Noncapital Financing Activities:		
Proceeds from State Appropriations	107,985,245.99	100,160,756.81
Proceeds from Operating Gifts	31,058,355.18	4,666,547.87
Proceeds from Private Gifts for Endowment and Annuity Life Purposes	13,650,200.23	4,005,974.15
Receipts for Transfers from System or Other Agencies	14,062,068.57	10,227,768.52
Payments for Transfers to System or Other Agencies	(4,988,446.57)	(10,598,148.25)
Proceeds from Nonexchange Sponsored Programs	55,158,815.00	23,538,278.00
Net Cash Provided by Noncapital Financing Activities	216,926,238.40	132,001,177.10
Cash Flows from Capital and Related Financing Activities:		
Nonmandatory Capital Related Transfers	95,681,248.97	117,258,867.63
Proceeds from Capital Appropriations, Grants, and Gifts	1,496,847.76	7,338,575.15
Proceeds from Sale of Capital Assets	37,463.65	-
Payments for Additions to Capital Assets	(130,750,979.73)	(140,711,701.83)
Payments of Principal on Capital Related Debt	(105,934.14)	-
Mandatory Transfers to System for Capital Related Debt	(47,145,363.08)	(39,623,476.71)
Net Cash Provided (Used) by Capital and Related Financing Activities	(80,786,716.57)	(55,737,735.76)
Cash Flows from Investing Activities		
Proceeds from Sales of Investments Invested by System	-	15,172,033.35
Proceeds from Interest and Investment Income	148,921.54	167,406.83
Proceeds from Interest and Investment Income Invested by System	34,012,650.12	12,374,988.53
Payments to Acquire Investments Invested by System	(76,587,460.06)	-
Net Cash Provided (Used) by Investing Activities	(42,425,888.40)	27,714,428.71
Net Increase (Decrease) in Cash	(19,551,994.47)	(5,325,313.18)
Cash and Cash Equivalents (Beginning of the Year)	98,321,542.12	103,646,855.30
Cash and Cash Equivalents (End of the Year)	\$ 78,769,547.65	\$ 98,321,542.12
Reconciliation of Net Operating Revenues (Expenses) to Net Cash Provided (Used) by Operating Activities		
Operating Income (Loss)	(173,791,406.55)	(159,837,895.59)
Adjustments to Reconcile Operating Results to Net Cash:		
Depreciation and Amortization Expense	65,185,601.94	58,385,920.09
Bad Debt Expense	172,074.40	5,440.42
Changes in Assets and Liabilities:		
Accounts Receivable	(11,525,693.05)	(5,290,866.42)
Inventories	15,795.40	11,703.59
Loans and Contracts	26,211.64	(3,293,878.57)
Other Current and Noncurrent Assets	2,556,045.66	1,158,613.09
Accounts Payable	(1,279,587.75)	(5,800,680.08)
Due to System	362,777.46	274,499.54
Unearned Revenue	5,092,180.71	4,908,226.70
Assets Held for Others	(106,473.18)	(159,646.08)
Employees' Compensable Leave	14,616.45	418,837.87
Other Current and Noncurrent Liabilities	12,228.97	(83,457.79)
Total Adjustments	60,525,778.65	50,534,712.36
Net Cash Provided (Used) by Operating Activities	\$ (113,265,627.90)	\$ (109,303,183.23)
Non Cash Transactions:		
Net Increase (Decrease) in Fair Value of Investments	(10,297,078.25)	(18,201,012.45)
Capital Assets Acquired Under Capital Lease Purchases	315,585.91	-
Miscellaneous Noncash Transactions	(1,906,765.38)	(301,285.18)